Marico Limited — Financial Due Diligence Report

Preliminary FY2024–25 vs FY2025–26 review | Educational case study

Report status: PRELIMINARY — working dashboard figures reproduced; balance-sheet and cash-flow inputs require source-to-workbook reconciliation.

1. Executive Summary

This case study reviews Marico Limited's year-on-year financial performance using a working Excel model with historical financials, ratio analysis, a red-flags review and a dashboard. The dashboard indicates revenue growth of 25.7%, compared with 7.6% growth in profit before tax and 9.3% growth in profit for the year. It also indicates a decline in net profit margin and current ratio, alongside improved operating cash flow relative to net profit. These movements identify areas for further investigation; they do not, by themselves, establish a financial problem or its cause.

2. Scope and Objective

The objective is to review selected income-statement, balance-sheet and cash-flow indicators for FY2024–25 and FY2025–26, practise Excel-based financial analysis, compare year-on-year performance and formulate follow-up questions. All financial figures are shown in ₹ crore unless stated otherwise.

3. Historical Financial Snapshot

Metric	FY2024–25	FY2025–26	Change
Revenue from operations	₹10,831 cr	₹13,611 cr	+25.7%
Profit before tax	₹2,116 cr	₹2,277 cr	+7.6%
Profit for the year	₹1,658 cr	₹1,813 cr	+9.3%
Total assets	₹8,332 cr	₹10,075 cr	+20.9%
Total liabilities	₹4,066 cr	₹5,581 cr	+37.3%
Total equity	₹4,266 cr	₹4,494 cr	+5.3%
Current assets	₹5,077 cr	₹5,860 cr	+15.4%
Current liabilities	₹2,455 cr	₹4,101 cr	+67.1%

4. Key Ratio Analysis

Ratio	FY2024–25	FY2025–26	Direction
Current ratio	2.07x	1.43x	Decreased
Net profit margin	15.3%	13.3%	Decreased
Operating cash flow / net profit	82.2%	115.0%	Improved

5. Preliminary Findings and Areas to Investigate

Revenue growth exceeded profit growth

Revenue from operations increased by 25.7%, while profit before tax increased by 7.6% and profit for the year by 9.3%. This pattern warrants a closer review of expense growth, product mix, pricing, and exceptional or tax-related effects; the ratios alone do not explain the cause.

Net profit margin declined

The workbook's calculation shows net profit margin falling from 15.3% to 13.3%. Review cost of materials, purchases, employee costs, advertising and other expenses, finance costs, taxes, and any exceptional items before drawing conclusions.

Current ratio declined as current liabilities rose

The current ratio declined from 2.07x to 1.43x, while current liabilities increased by 67.1%. This is a review indicator, not proof of distress. Examine the composition and maturity of current liabilities, trade payables, borrowings, provisions, cash balances, inventory and receivables.

Operating cash flow relative to profit improved

Operating cash flow / net profit increased from 82.2% to 115.0% in the workbook. This suggests operating cash flow exceeded accounting profit in FY2025–26 based on the entered values. Validate the cash flow statement and working-capital movements before treating this as a confirmed conclusion.

Liabilities grew faster than assets and equity

Total liabilities increased by 37.3%, compared with total assets growth of 20.9% and equity growth of 5.3%. Review liability classification and notes to understand the drivers. The workbook's 'total liabilities / total equity' measure should be called liabilities-to-equity, not debt-to-equity, unless interest-bearing borrowings are isolated.

6. Methodology

• Use consolidated financial statements for both years, not standalone figures.

• Compare FY2024–25 with FY2025–26 using the same units (■ crore) and consistent definitions.

• Calculate year-on-year growth as (current year – prior year) ÷ prior year.

• Calculate net profit margin as profit for the year ÷ revenue from operations.

• Calculate current ratio as current assets ÷ current liabilities.

• Calculate operating cash flow / net profit as net cash from operating activities ÷ profit for the year.

• Treat ratio movements as screening indicators; investigate the underlying notes and cash-flow/working-capital drivers before forming a conclusion.

7. Recommended Follow-up Checks

• Reconcile each historical figure to the consolidated statements and notes; record PDF page, note and units.

• Check that workbook inputs and formulas agree across all tabs.

• Break down current liabilities and review year-on-year changes.

• Review operating cash flow against receivables, inventories, payables, tax and other working-capital movements.

• Review expense categories as a percentage of revenue to investigate why profit growth lagged revenue growth.

• Document evidence, source references, status and next action for each red flag.

8. Limitations

• This report uses the working figures currently shown in the project dashboard. The balance-sheet, current-asset/current-liability and operating-cash-flow figures have not been independently reconciled line by line to the official consolidated statements and notes in this report.

• The official Marico FY2025–26 annual report and investor materials should be treated as the primary source. Reconcile every input, including units and consolidated/standalone scope, before public use.

• A year-end current ratio is a snapshot and does not replace an assessment of cash availability, receivable quality, inventory turnover, liability due dates, or credit facilities.

• This is an educational preliminary review, not an audit, valuation, credit opinion, or investment recommendation.

9. Sources

Marico Limited, Integrated Annual Report FY2025–26. Official annual-report page: Marico Annual Reports. Direct PDF: FY26 Annual Report. Official investor materials report consolidated turnover of ■13,611 crore for FY2025–26 and ■10,831 crore for

FY2024–25. Reconcile remaining inputs to the relevant consolidated statements and notes before treating this report as final.

Conclusion

The preliminary model highlights higher revenue growth than profit growth, a lower net profit margin and current ratio, and improved operating cash flow relative to net profit. The next step is to trace these movements to verified statements and note disclosures, understand the underlying drivers and document the evidence. This report is an educational case study, not an audit, valuation, credit opinion or investment recommendation.